IUL vs. Direct Index Fund — Same Borrowed Money, Same Loan, Same Rules

$10M policy | Borrow $533,350/yr × 10 yrs at SOFR+1% | Repay full loan at Year 20 | No tax | What do you keep?

• Borrow same money, same loan rate • S&P; returns capped at 13.5%, floored at 0% • Policy charges ~1.5%/yr • PLUS: $10M death benefit entire time • PLUS: Tax-free policy loans after Yr 20

• Borrow same money, same loan rate • Full raw S&P; returns — no cap, no floor • No policy charges • NO death benefit • Gains taxable on withdrawal (ignored here)

1. WHAT YOU KEEP AFTER REPAYING THE BANK AT YEAR 20

Scenario	Market Window	IUL Value Yr 20	IUL Repays Loan	You Keep (IUL)	Index Value Yr 20	Index Repays Loan	You Keep (Index)	Winner & Margin
SCENARIO A	2005–2024	$16,809,058	**$7,916,041**	**$8,893,017**	$24,621,351	**$7,916,041**	**$16,705,310**	**Index +$7,812,293**
SCENARIO B	2003–2022	$15,195,954	**$7,496,809**	**$7,699,146**	$17,697,698	**$7,496,809**	**$10,200,889**	**Index +$2,501,743**
SCENARIO C	2000–2019	$14,070,129	**$7,868,392**	**$6,201,737**	$14,584,043	**$7,868,392**	**$6,715,651**	**Index +$513,914**

SCENARIO A: 2005–2024 — GFC + COVID recovery (best 20 yrs)

IUL keeps: $8,893,017	**Index keeps: $16,705,310**	**Difference: $7,812,293 in favor of Index**	*IUL also gives you $10M death benefit throughout — Index gives $0*

Yr	Cal	S&P; Return	Credited (IUL)	Loan Rate	Loan Balance	IUL Value	Index Value	IUL Net (IUL-Loan)	Idx Net (Idx-Loan)
1	2005	3.0%	**3.0%**	4.22%	$555,857	$541,350	**$549,350**	**($14,507)**	**($6,507)**
2	2006	**13.6%**	**13.5%**	**6.32%**	$1,158,045	**$1,203,664**	**$1,230,164**	**$45,619**	**$72,119**
3	2007	3.5%	**3.5%**	**6.02%**	$1,793,217	$1,772,276	**$1,825,766**	**($20,942)**	**$32,549**
4	2008	**-38.5%**	**0.0%**	3.13%	$2,399,389	$2,271,041	**$1,451,092**	**($128,348)**	**($948,296)**
5	2009	**23.4%**	**13.5%**	1.24%	$2,969,105	**$3,140,918**	**$2,449,794**	**$171,813**	**($519,311)**
6	2010	12.8%	**12.8%**	1.29%	$3,547,636	**$4,088,726**	**$3,364,390**	**$541,089**	**($183,246)**
7	2011	0.0%	**0.0%**	1.25%	$4,131,999	**$4,552,745**	**$3,897,740**	**$420,746**	**($234,259)**
8	2012	13.4%	**13.4%**	1.31%	$4,726,465	**$5,691,848**	**$5,025,299**	**$965,384**	$298,834
9	2013	**29.6%**	**13.5%**	1.24%	$5,325,037	**$6,972,222**	**$7,204,009**	**$1,647,186**	**$1,878,973**
10	2014	11.4%	**11.4%**	1.23%	$5,930,445	**$8,247,873**	**$8,618,645**	**$2,317,429**	**$2,688,200**
11	2015	**-0.7%**	**0.0%**	1.32%	$6,008,727	**$8,124,155**	**$8,555,729**	**$2,115,429**	**$2,547,002**
12	2016	9.5%	**9.5%**	1.97%	$6,127,098	**$8,777,337**	**$9,371,945**	**$2,650,239**	**$3,244,847**
13	2017	**19.4%**	**13.5%**	2.30%	$6,268,022	**$9,830,618**	**$11,191,977**	**$3,562,596**	**$4,923,955**
14	2018	**-6.2%**	**0.0%**	3.36%	$6,478,627	**$9,683,159**	**$10,493,597**	**$3,204,531**	**$4,014,970**
15	2019	**28.9%**	**13.5%**	3.16%	$6,683,352	**$10,845,138**	**$13,524,148**	**$4,161,786**	**$6,840,796**
16	2020	**16.3%**	**13.5%**	1.37%	$6,774,914	**$12,146,554**	**$15,723,175**	**$5,371,640**	**$8,948,261**
17	2021	**26.9%**	**13.5%**	1.05%	$6,846,050	**$13,604,141**	**$19,951,137**	**$6,758,090**	**$13,105,086**

Yr	Cal	S&P; Return	Credited (IUL)	Loan Rate	Loan Balance	IUL Value	Index Value	IUL Net (IUL-Loan)	Idx Net (Idx-Loan)
18	2022	**-19.4%**	**0.0%**	3.28%	$7,070,601	**$13,400,078**	**$16,072,636**	**$6,329,478**	**$9,002,035**
19	2023	**24.2%**	**13.5%**	**6.02%**	$7,496,251	**$15,008,088**	**$19,967,035**	**$7,511,837**	**$12,470,784**
20	2024	**23.3%**	**13.5%**	**5.60%**	$7,916,041	**$16,809,058**	**$24,621,351**	**$8,893,017**	**$16,705,310**

SCENARIO B: 2003–2022 — Dot-com recovery through COVID crash

IUL keeps: $7,699,146	**Index keeps: $10,200,889**	**Difference: $2,501,743 in favor of Index**	*IUL also gives you $10M death benefit throughout — Index gives $0*

Yr	Cal	S&P; Return	Credited (IUL)	Loan Rate	Loan Balance	IUL Value	Index Value	IUL Net (IUL-Loan)	Idx Net (Idx-Loan)
1	2003	**26.4%**	**13.5%**	2.12%	$544,657	**$597,352**	**$674,048**	**$52,695**	**$129,391**
2	2004	9.0%	**9.0%**	2.56%	$1,105,604	**$1,215,392**	**$1,315,943**	**$109,788**	**$210,339**
3	2005	3.0%	**3.0%**	4.22%	$1,708,118	**$1,774,973**	**$1,904,772**	**$66,855**	**$196,654**
4	2006	**13.6%**	**13.5%**	**6.32%**	$2,383,129	**$2,585,321**	**$2,770,194**	**$202,193**	**$387,065**
5	2007	3.5%	**3.5%**	**6.02%**	$3,092,051	**$3,181,980**	**$3,420,159**	**$89,930**	**$328,108**
6	2008	**-38.5%**	**0.0%**	3.13%	$3,738,876	$3,659,601	**$2,431,803**	**($79,275)**	**($1,307,072)**
7	2009	**23.4%**	**13.5%**	1.24%	$4,325,201	**$4,696,105**	**$3,660,482**	**$370,903**	**($664,720)**
8	2010	12.8%	**12.8%**	1.29%	$4,921,227	**$5,819,337**	**$4,729,803**	**$898,110**	**($191,423)**
9	2011	0.0%	**0.0%**	1.25%	$5,522,759	**$6,257,397**	**$5,263,153**	**$734,638**	**($259,605)**
10	2012	13.4%	**13.4%**	1.31%	$6,135,444	**$7,599,525**	**$6,573,815**	**$1,464,081**	$438,371
11	2013	**29.6%**	**13.5%**	1.24%	$6,211,523	**$8,511,468**	**$8,519,664**	**$2,299,944**	**$2,308,140**
12	2014	11.4%	**11.4%**	1.23%	$6,287,925	**$9,353,252**	**$9,490,053**	**$3,065,327**	**$3,202,128**
13	2015	**-0.7%**	**0.0%**	1.32%	$6,370,926	**$9,212,953**	**$9,420,776**	**$2,842,027**	**$3,049,850**
14	2016	9.5%	**9.5%**	1.97%	$6,496,433	**$9,953,674**	**$10,319,518**	**$3,457,242**	**$3,823,085**
15	2017	**19.4%**	**13.5%**	2.30%	$6,645,851	**$11,148,115**	**$12,323,568**	**$4,502,264**	**$5,677,717**
16	2018	**-6.2%**	**0.0%**	3.36%	$6,869,151	**$10,980,894**	**$11,554,578**	**$4,111,742**	**$4,685,426**
17	2019	**28.9%**	**13.5%**	3.16%	$7,086,217	**$12,298,601**	**$14,891,540**	**$5,212,384**	**$7,805,323**
18	2020	**16.3%**	**13.5%**	1.37%	$7,183,298	**$13,774,433**	**$17,312,904**	**$6,591,135**	**$10,129,606**
19	2021	**26.9%**	**13.5%**	1.05%	$7,258,722	**$15,427,365**	**$21,968,344**	**$8,168,642**	**$14,709,621**
20	2022	**-19.4%**	**0.0%**	3.28%	$7,496,809	**$15,195,954**	**$17,697,698**	**$7,699,146**	**$10,200,889**

SCENARIO C: 2000–2019 — Worst: Dot-com crash + GFC back-to-back

IUL keeps: $6,201,737	**Index keeps: $6,715,651**	**Difference: $513,914 in favor of Index**	*IUL also gives you $10M death benefit throughout — Index gives $0*

Yr	Cal	S&P; Return	Credited (IUL)	Loan Rate	Loan Balance	IUL Value	Index Value	IUL Net (IUL-Loan)	Idx Net (Idx-Loan)
1	2000	**-10.1%**	**0.0%**	**7.52%**	$573,458	$525,350	**$479,268**	**($48,108)**	**($94,190)**
2	2001	**-13.0%**	**0.0%**	4.50%	$1,156,614	$1,042,819	**$880,573**	**($113,795)**	**($276,041)**
3	2002	**-23.4%**	**0.0%**	2.80%	$1,737,283	$1,552,527	**$1,083,489**	**($184,757)**	**($653,794)**

Yr	Cal	S&P; Return	Credited (IUL)	Loan Rate	Loan Balance	IUL Value	Index Value	IUL Net (IUL-Loan)	Idx Net (Idx-Loan)
4	2003	26.4%	13.5%	2.12%	$2,318,771	$2,336,182	$2,043,361	$17,411	($275,409)
5	2004	9.0%	9.0%	2.56%	$2,925,135	$3,084,460	$2,808,358	$159,325	($116,777)
6	2005	3.0%	3.0%	4.22%	$3,604,433	$3,672,077	$3,441,959	$67,644	($162,474)
7	2006	13.6%	13.5%	6.32%	$4,399,291	$4,710,078	$4,516,746	$310,787	$117,455
8	2007	3.5%	3.5%	6.02%	$5,229,586	$5,349,870	$5,228,364	$120,284	($1,222)
9	2008	-38.5%	0.0%	3.13%	$5,943,316	$5,794,972	$3,544,030	($148,344)	($2,399,285)
10	2009	23.4%	13.5%	1.24%	$6,556,976	$7,087,720	$5,033,526	$530,744	($1,523,450)
11	2010	12.8%	12.8%	1.29%	$6,641,561	$7,887,215	$5,676,811	$1,245,653	($964,751)
12	2011	0.0%	0.0%	1.25%	$6,724,581	$7,768,907	$5,676,811	$1,044,326	($1,047,770)
13	2012	13.4%	13.4%	1.31%	$6,812,673	$8,694,184	$6,438,071	$1,881,511	($374,602)
14	2013	29.6%	13.5%	1.24%	$6,897,150	$9,737,486	$8,343,740	$2,840,335	$1,446,590
15	2014	11.4%	11.4%	1.23%	$6,981,985	$10,700,523	$9,294,092	$3,718,538	$2,312,107
16	2015	-0.7%	0.0%	1.32%	$7,074,147	$10,540,015	$9,226,245	$3,465,868	$2,152,098
17	2016	9.5%	9.5%	1.97%	$7,213,508	$11,387,432	$10,106,429	$4,173,924	$2,892,921
18	2017	19.4%	13.5%	2.30%	$7,379,419	$12,753,924	$12,069,098	$5,374,505	$4,689,679
19	2018	-6.2%	0.0%	3.36%	$7,627,367	$12,562,615	$11,315,986	$4,935,248	$3,688,619
20	2019	28.9%	13.5%	3.16%	$7,868,392	$14,070,129	$14,584,043	$6,201,737	$6,715,651

2. THE HONEST ANSWER

	Index Fund (Direct, No Insurance)	IUL (Insured)
Year 20 payout — Best case (2005–2024)	$16,705,310	$8,893,017
Year 20 payout — Middle (2003–2022)	$10,200,889	$7,699,146
Year 20 payout — Worst (2000–2019)	$6,715,651	$6,201,737
Worst crash year (2008: -38.5%)	Index lost 38.5% that year — value crashed	IUL credited 0% — value held stable
Death benefit throughout 20 yrs	$0	$10,000,000
Tax on gains at Year 20	Capital gains tax on all profits (ignored in this model but REAL)	$0 — policy loans are tax-free
If market is down in Year 20	Index value drops — possible shortfall to repay loan	Floor ensures IUL value never goes negative from losses
Collateral during loan (yrs 1–10)	Index can go deeply negative in crashes (2008: -48% loss on borrowed money)	IUL never below zero — floor protects

BOTTOM LINE: Yes — if you borrowed the same money and invested directly in the S&P; 500 with no insurance wrapper, you would have kept MORE money at Year 20 in all three historical scenarios. The index beats the IUL by $514k (worst case) to $7.8M (best case). The cost of the IUL wrapper is the 13.5% cap and the 1.5%/yr policy charges. What you GET in return: a $10M death benefit for 20 years, a 0% floor (your collateral never goes underwater), and tax-free income after Year 20. The index wins on raw payout at Year 20. The IUL wins on protection, tax efficiency, and legacy.

S&P; 500 price returns and SOFR/LIBOR from public historical data. Policy charges ~1.5%/yr proxy. Tax implications excluded as instructed. Death benefit estimates approximate. Not financial advice.